VWAP Rejection · Intraday Continuation

Concept

VWAP is the volume-weighted "fair price" of the day — institutions defend it. A clean rejection (wick into VWAP, body back on the trending side, with a pin or engulfing close) is a continuation trade. The H1 50-EMA trend filter keeps us on the right side of higher-timeframe flow.

Rules

- H1 trend — H1 close above/below the 50-EMA, EMA sloping the same way.
- Touch — Bar's wick crosses VWAP, body closes back on the trending side.
- Displacement — Close 0.3 × ATR away from VWAP (not lingering on it).
- Confirmation — Last bar is a pin bar OR engulfing in the trade direction.

Entry

- Market at trigger close (no retracement limit).

Stop loss

- 0.5 × ATR beyond the wick extreme (then widened by STOP_PAD).

Take profit

- TP1: 1.2 × risk · TP2: 1.8 × risk (uniform reward profile).

When to skip

- H1 trend disagrees with the day's VWAP side.
- Range-bound tape (ATR-15m < 0.4 × ATR-H1).

Backtest Results (45-day walk-forward)

Trades: 82 · 1.82 per day

Win rate: 55% · Avg winner: 1.20 RR

Expectancy: 0.25 R per trade · Profit factor: 1.60

Result vs target (60% win, 1.2 RR): FAIL